COMPANY OPERATING SYSTEM

Project Costing Spreadsheet Specification

Sheets

Developed by **V. LOKESHWARAN**
VEL Software Solutions
velsoftwaresolutions.in@gmail.com

Document VEL-WD-001-SM09 · Version 1.0 (draft for management approval)
Tool versions, limits and vendor prices change. Always verify against official documentation and pricing calculators before building or quoting.

Table of Contents

Project Costing Spreadsheet Specification 3

VEL SOFTWARE SOLUTIONS

Project Costing Spreadsheet Specification

This is the specification for the **Project Costing Workbook**. A working implementation is supplied as `VEL-Web-Project-Costing-Workbook.xlsx` (built to this specification, with live formulas). Use the workbook for every quotation; keep one copy per client version in the project folder.

1. Principles

- **Inputs are blue cells; formulas are black.** Inputs live only on `Assumptions`, `Estimate` hours, `Operating` vendor lines and `VendorLog`.
- **No vendor price is typed without a `VendorLog` row** (source URL, date checked, region, currency, plan, assumptions, checked-by).
- Currency is stated once on `Assumptions`; all other sheets inherit it. Taxes are excluded from every figure and added in the quotation.
- Margin and markup are separate, labelled outputs. Prices round **up** to the configured step.
- The workbook is **read-only for finished quotes** (save as PDF + archive); changes create a new version number.

2. Sheet specification

Sheet	Purpose	Key contents
`README`	Instructions, colour legend, warnings, version	Placeholder warning; how to use; change log
`Assumptions`	Global inputs	Currency; rate card (role, cost/hour); contingency % per size; target margin % per size; commission %; annual fixed costs; price rounding; service contingency and margin; renewal inflation (vendor, wages)
`Estimate`	Project cost and price	Work items x role x hours (Small/Medium/Enterprise), cost per line, labour subtotal, third-party one-time, subtotal, contingency, total cost, selling price, gross profit, gross margin %, markup %, variable cost, contribution margin, break-even projects, break-even hours
`Operating`	Recurring cost and service price	Vendor pass-through lines, service labour (hours x rate), service contingency, monthly operating cost, annual operating cost, monthly fee, MRR, ARR, service margin, renewal fee
`Scenarios`	Usage-based cost at 100 / 1,000 / 10,000 / 100,000 users	Compute, database, storage, network, monitoring (inputs from calculator), total, cost per user, margin check
`VendorLog`	Evidence for every external price	Vendor, item, plan, region, currency, unit price, quantity assumption, URL, date checked, checked by, reviewer
`Summary`	One-page result for the quotation	Price, GM %, CM, break-even, monthly fee, annual fee, renewal

3. Formulas (Excel notation)

Output	Formula
Line cost	`=Hours * VLOOKUP(Role, RateCard, 2, FALSE)`
Labour	`=SUM(line costs)`
Subtotal	`=Labour + ThirdPartyOneTime`
Contingency	`=Subtotal * ContingencyPct`
Total delivery cost	`=Subtotal + Contingency`
Selling price	`=CEILING(TotalCost / (1 - TargetMargin), RoundTo)`
Gross profit	`=Price - TotalCost`
Gross margin %	`=GrossProfit / Price`
Markup %	`=GrossProfit / TotalCost`
Variable cost	`=ThirdPartyOneTime + Commission * Price`
Contribution margin	`=Price - VariableCost`
Break-even projects / year	`=AnnualFixed / ContributionMargin`
Blended rate	`=Labour / TotalHours`
Break-even hours	`=(Price - ThirdParty - Contingency - Commission*Price) / BlendedRate`
Monthly operating cost	`=(VendorTotal + ServiceLabour) * (1 + ServiceContingency)`
Annual operating cost	`=MonthlyCost * 12`
Monthly service fee	`=CEILING(MonthlyCost / (1 - ServiceMargin), 5)`
MRR / ARR	`=SUM(monthly fees)` / `=MRR * 12`
Next-year cost	`=(VendorTotal*(1+VendorInflation) + ServiceLabour*(1+WageInflation)) * (1 + ServiceContingency)`
Renewal fee / month	`=MAX(CurrentFee, CEILING(NextYearCost / (1 - ServiceMargin), 5))`
Cost per active user	`=TotalMonthlyCost / ActiveUsers`

4. Validation and controls

Control	Rule
Data validation	Margins and contingency between 0 and 0.9; hours >= 0; role chosen from the rate card list
Conditional formatting	Gross margin below policy minimum → red; vendor price older than 30 days → amber; missing `VendorLog` URL → red
Protection	Formula cells locked; inputs unlocked
Cross-check	`Summary` totals equal the sum of detail sheets (a check cell shows OK/ERROR)

Control	Rule
Review	Technical Lead reviews hours; PM reviews commercial terms; a second person re-opens at least 20% of vendor links
Versioning	File name `client-project-costing-vN.xlsx`; changes logged in `README`

5. Quotation output checklist

- [ ] Scope and assumptions match the SOW
- [ ] Every vendor price traces to a `VendorLog` row dated within 30 days
- [ ] Contingency included; margin stated as **margin**, not markup
- [ ] Taxes excluded and stated; currency stated
- [ ] Monthly service fee, annual fee and renewal rule included
- [ ] Break-even and gross-margin check passed policy minimum
- [ ] Reviewed by Technical Lead and PM; approved by the authorised commercial representative

VEL SOFTWARE SOLUTIONS